

Environmental Scanning: The Canadian Hospitality Industry (Hotels & Restaurants)

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1. Introduction

This report scans the external environment of Canada's hotel and restaurant industry using three strategy tools: PESTEL for the macro environment, Porter's Five Forces and generic strategies for competition, and a TOWS matrix for recommendations. The main finding is that demand is holding up but margins are not. Hotels set a record in 2025, with occupancy of 66.1%, an average daily rate (ADR) of \$216.10 and revenue per available room (RevPAR) of \$142.89 (CoStar, 2026a). Restaurants, by contrast, earn an average pre-tax margin of just 4.1%, and 41% of operators are losing money or breaking even (Restaurants Canada, 2026a, 2026b).

2. Key External Factors (PESTEL)

Factor	Evidence	Impact
Economic	Food costs worry 88% of restaurant operators and labour costs 89%. Real foodservice sales are forecast to grow only 1.5% in 2026 (Restaurants Canada, 2026b). Hotel growth now comes from price: in June 2026, occupancy fell 3.5% while ADR rose 5.4% (CoStar, 2026b).	Margins are squeezed. Rate-led hotel growth has limits.
Political	Because of the tariff dispute, Canadian return trips from the U.S. fell 25.4% to 29.1 million in 2025 (Statistics Canada, 2026a), with a 14th straight monthly decline in February 2026 (Statistics Canada, 2026b). Ottawa's Canada Strong Pass (June 19 to September 7, 2026) offered free national park entry to encourage domestic travel (Parks Canada, n.d.).	Domestic leisure demand rises. U.S.-linked demand stays weak.
Legal	Minimum wages rise each year with inflation: the federal rate is \$18.15, B.C. \$18.25 and Ontario \$17.95 (Littler, 2026). Bill C-59 (2024) bans drip pricing, so mandatory fees must appear in the advertised price (Davies, 2024). B.C. requires short-term rental registration (Government of British Columbia, n.d.). Quebec's Law 25 tightens consent rules for personal data.	Labour costs rise. Resort fees must be shown upfront. Guest data needs clear consent.
Social	80% of Canadians are eating out less because of the cost of living (Restaurants Canada, 2026a). 83% say too many businesses ask for tips (Angus Reid Institute, 2023). "Buy Canadian" sentiment has favoured local brands such as A&W (NOW Toronto, 2025).	Guests are price-sensitive and loyal to local brands.
Technological	79% of independent restaurant operators feel positive about AI (TouchBistro, 2026). Kiosks, mobile ordering, digital room keys and revenue-management tools are now mainstream.	Technology cuts labour needs and creates data to use.
Environmental	The 2024 Jasper wildfire shut a major resort town in peak season. Smoke and extreme weather recur. Clients increasingly ask about food waste and energy use.	Seasonal risk rises and sustainability influences buying decisions.

3. Competitive Landscape

3.1 Industry structure. Porter's Five Forces (Table 2) shows an industry where it is hard to earn above-average profits.

Force	Level	Evidence
Rivalry	High	Supply keeps growing (Marriott is adding about 11 hotels and Hilton

Force	Level	Evidence
		about 15 in 2026) while occupancy softens. Quick-service chains are competing hard on value.
Buyer power	High	80% of consumers are cutting back. Price transparency (Bill C-59) and online reviews make prices easy to compare.
Supplier power	Moderate to high	Food inflation, a tighter labour supply (46% of hotels lost foreign workers to expiring permits; Hotelier Magazine, 2026), and commissions charged by booking and delivery platforms.
Substitutes	Moderate to high	Airbnb, grocery prepared meals and cooking at home.
New entrants	Moderate	Opening a restaurant is easy, but a 4.1% average margin deters newcomers. Hotels require heavy capital.

3.2 Top 10 competitors. Table 3 profiles the ten most important competitors, including the generic strategy each one follows.

Competitor	Segment / strategy	Strength	Weakness	Recent move
Tim Hortons (RBI)	Coffee QSR / cost leadership	6,209 restaurants; strong national brand	Canadian same-store sales slowed to 0.1% in Q2 2026	Menu upgrades; loyalty partnership with Canadian Tire (Restaurant Brands International, 2026; Retail Insider, 2026)
McDonald's Canada	Burger QSR / cost leadership	Global purchasing scale and marketing power	U.S. brand facing "Buy Canadian" sentiment	One-year price lock on \$5 McValue meals and \$1 coffee (McDonald's Canada, n.d.)
A&W Canada	Burger QSR / differentiation	Canadian-owned; 1,000+ locations	Smaller marketing budget than McDonald's	"Canadian owned and managed" signage (NOW Toronto, 2025)
Recipe Unlimited	Casual dining / broad differentiation	Multi-brand portfolio (Swiss Chalet, Harvey's, St-Hubert)	Casual dining is the most exposed to budget cuts	Bought all 8 Canadian Olive Gardens; national rollout (Recipe Restaurant Group International, 2026)
MTY Food Group	Multi-brand franchisor / focus	7,040 locations across many brands	Canadian same-store sales down 1.8%	Closing 68 underperforming corporate stores (MTY Food Group, 2026)
Marriott	Full portfolio / differentiation	300+ Canadian hotels; Bonvoy loyalty program	Relies on owners' capital and rate growth	About 11 Canadian openings in 2026 (Rewards Canada, 2026)
Hilton	Full portfolio / differentiation	200+ Canadian hotels; 100+ in pipeline	Exposed to softer occupancy	About 15 openings, including midscale Spark (RENX, 2026)
Accor (Fairmont)	Luxury / differentiation	Iconic heritage hotels	High renovation costs	Renovating Fairmont Waterfront and Château Laurier; new Fairmont Calgary signed (Accor, 2026a, 2026b)
Choice Hotels	Midscale franchising / cost focus	Low-cost franchise model; conversion brands	Limited presence in upscale	Six Ascend Collection hotels in Quebec (Hotel Investment Today, n.d.)
Airbnb	Substitute / differentiation	Unique stays; global reach	Provincial and city rental restrictions	Must comply with B.C. and Toronto registration rules (Government of British Columbia, n.d.)

Takeaway: Cost leaders (Tim Hortons, McDonald's) are fighting a value war, while differentiators (A&W, Fairmont, Marriott) compete on brand, loyalty and Canadian identity. Firms stuck in the middle, such as mid-priced casual dining, face the greatest risk.

4. Market Changes and Trends

- **Shift to domestic travel.** Fewer U.S. trips plus the Canada Strong Pass favour regional hotels and destination restaurants.
- **Events deliver less than expected.** During the World Cup, Toronto's hotel RevPAR rose 10.4% but Vancouver's occupancy fell 15.8% (CoStar, 2026b). Toronto bar and restaurant card spending rose only 3% (34% among international visitors) (Toronto Life, 2026).
- **Value and transparency.** TikTok "budget eats" content, price-lock offers and tipping fatigue all point to guests wanting fair, all-in pricing.
- **Automation.** 58% of hoteliers expect labour shortages and 72% struggle to hire locally (Hotelier Magazine, 2026), which is pushing adoption of kiosks, mobile check-in and AI scheduling.
- **Unstructured data.** Reviews on Google, TripAdvisor and Reddit are an underused source of service insight.

5. Strategic Recommendations (TOWS)

Chains should defend cost leadership through scale and data. Independents should pursue focused differentiation, competing on local identity, experience and Canadian sourcing rather than price.

TOWS type	Recommended action	BI tool / KPI
SO (strength to opportunity)	Use loyalty data to build packages for Canadian travellers with tourism boards and promote Canadian sourcing.	Domestic booking share; package uptake
WO (fix weakness via opportunity)	Combine PMS, POS, reservation and loyalty data in a data warehouse, with consent collected under PIPEDA and Law 25. Add sentiment analysis of reviews.	Repeat-guest rate; sentiment score
ST (strength against threat)	Answer the value war with all-in pricing, prix fixe menus and bundled stays. Grow ancillary hotel revenue rather than relying on room rate alone.	Average cheque; GOPPAR; visit frequency
WT (minimize weakness and threat)	Use menu engineering and demand-based scheduling, cross-train staff, and invest in retention (for example, staff housing in resort towns).	Prime cost at 60–65% of sales; sales per labour hour; turnover

Phasing: launch cost dashboards and pricing changes within three months, and build the data warehouse and forecasting within twelve.

6. Conclusion

Canadian hospitality still has demand, but it lacks margin and workers. The operators that win will choose a clear generic strategy and support it with data, tracking costs weekly, listening to guests at scale, and planning around evidence rather than hype.

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